As investors move further out in maturity, the premium for credit risk goes up because the uncertainty of interest payments goes up with time.

TABLE 11-3
Average Spreads for U.S. Corporate Bonds over U.S. Treasury Securities

Credit rating	Short Term (1–5 Years)	Intermediate Term (6–10 Years)	Long Term (11–30 Years)
Highest quality (AAA–AA)			
Minor credit risk premium	0.4	0.6	0.7
Good quality (A–BBB)			
Higher credit risk	0.8	1.0	1.1
Fair quality (BB–B)			
Credit risk and some default risk	2.4	2.6	2.7
Poor quality (CCC–C)			
Credit risk and high default risk	6.0–15.0	6.0–20.0	10.0–20.0

Source: Bloomberg, Federal Reserve, *Wall Street Journal*

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Corporate bonds = Treasury bonds + credit risk premium

Let's turn our attention to the equity market. Stocks have more risk than corporate bonds. There is no guarantee of income or gain from stocks; the shareholders are the last people to be paid in the event of a corporate bankruptcy, and the board of directors can cut common stock dividends without shareholder approval. This is all reflected in greater price volatility in stocks over bonds.

Figure 11-6 illustrates the rolling 10-year equity risk premium based on the 10-year return on stocks as measured by the CRSP 1–10 Total U.S. Stock Market Index over the 10-year return on long-term corporate bonds as measured by the Barclays Long-Term Corporate Bond Index. The figure reflects the extra amount of return (or loss) that U.S. common stock returned over corporate bonds in rolling 10-year periods.